IN THE NATIONAL COMPANY LAW TRIBUNAL
NEW DELHI BENCH (COURT-II)

COMPANY PETITION NO. CP(CAA)-58(ND)/2023
CONNECTED WITH
COMPANY APPLICATION NO. CA(CAA)-47(ND)/2023

IN THE MATTER OF SCHEME OF ARRANGEMENT FOR DEMERGER:

BETWEEN

VENKATESH INFRA PROJECTS PRIVATE LIMITED
Having its Registered Office at:
Property No. 349 Left Side, First Floor, Near Kath Godown,
Metro Station, Sultanpur,
M.G.Road, Delhi, India, 110030

... Petitioner No.1 /Demerged Company

AND

VENKATESH STEEL INFRA PRIVATE LIMITED
Having its Registered Office at:
Office No. 243, Okhla Industrial Estate,
Phase-III, New Delhi-110020

... Petitioner No.2 /Resulting Company

Order Delivered on: 24.10.2024

Under Section: 230 to 232 of the Companies Act, 2013

CORAM:

SH. ASHOK KUMAR BHARDWAJ, HON'BLE MEMBER (J)

SH. SUBRATA KUMAR DASH, HON'BLE MEMBER (T)

PRESENT:

For the Petitioner	**:**	Mr. Nitin G. CA, Adv. Naresh Kumar
For the RD	**:**	Adv. Jyoti Khurana and Adv. Aakash Sharma
For the ITD	**:**	Mr. Aseem Chawla, Sr SC, Adv. Priya Sarkar, Jr SC and Adv. Prathishtha Chaudhary for ITD

ORDER

This petition is preferred by the Demerged Company and the Resulting Company jointly under Section 230 to 232 of Companies Act, 2013 read with the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016 for approval of the Scheme of Arrangement for Demerger (hereinafter referred to as **'Scheme'** for brevity), as contemplated between the Companies, its Shareholders and Creditors. The copy of the Scheme has been placed on record. The Petitioner Companies have prayed, inter alia, as under:

> "*a. Scheme of Arrangement for Demerger of 'Manufacturing Undertaking of Venkatesh Infra Projects Private Limited into Venkatesh Steel Infra Private Limited. as per Annexure: A-1 and declare the same to be binding with effect from the Appointed Date on the Petitioner Demerged Company and the Resulting Company, their Shareholders, Creditors and all concerned without any further act, deed or thing; and*
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> *b. Take on record the Schedule of Properties of Demerged Company as per Annexure: P-17, and instruct the Registry to enclose the same with the order of this Hon'ble Tribunal sanctioning the Scheme;*

2. **VENKATESH INFRA PROJECTS PRIVATE LIMITED** (hereinafter referred to as the "Petitioner No. 1/Demerged Company") having CIN U45200DL2020PTC371368 is a company incorporated on 12.10.2020 under the Companies Act, 2013. The Registered Office of the Petitioner Company No. 1 is situated at Property No. 349 Left Side First Floor, Near Kath Godown, Metro Station, Sultanpur, M.G.Road,

Delhi, India, 110030. The Authorised Share Capital of the Company is Rs. 4,00,00,000/- and the Paid-up Share Capital is Rs. 4,00,00,000/-.

3. **VENKATESH STEEL INFRA PRIVATE LIMITED** (hereinafter referred to as the "Petitioner No. 2/Resulting Company") having CIN U51909DL2020PTC364693 is a Company incorporated on 11.06.2020 under the provisions of the Companies Act, 2013. The Registered Office of the Petitioner Company No. 2 is situated at Office No. 243, Okhla Industrial Estate, Phase-III, New Delhi – 110020. The Authorised Share Capital of the Company is Rs. 32,00,00,000/- and the Paid-up Share Capital is Rs. 24,62,33,190/-.

4. The present Petition has been filed jointly by Demerged Company and the Resulting Company. **Both the 'Demerged' and 'Resulting' Companies together are called 'Petitioner Companies' hereinafter**. The Registered offices of all the Companies being in Delhi, the jurisdiction lies with this Bench.

5. From the records, it is seen that the First Motion petition was filed by the Petitioner Companies for seeking directions for dispensing with the meeting of Shareholders of the Demerged and Resulting Company. The demerged and Resulting Company do not have any Secured Creditor. Further, directions were sought for convening the meeting of Unsecured Creditors of the Demerged and Resulting Company. Accordingly, this Tribunal in the First Motion Application bearing No. C.A.(CAA) 47(ND)/2023 under Section 230-232 of Companies Act 2013 and vide Order dated 18.07.2023, issued directions to dispense with the requirement of convening the meetings of the Equity

Shareholders of the Petitioner Companies. Further, directions were issued for convening a meeting of the Unsecured Creditors of the Applicant Companies under the Chairman appointed by this Tribunal in order to obtain consensus to the proposed Scheme.

6. The Appointed Date as per Clause 3.3 of Part – II of the Proposed Scheme of Arrangement is 01.04.2023.

7. Subsequently, the Second Motion petition was moved by the Petitioner Companies in connection with the Scheme of Arrangement for fixing a date of hearing as well as other consequential directions in terms of Section 230-232 of the Companies Act, 2013. Directions were issued, vide Order dated 04.09.2023 and 27.10.2023, of this Tribunal, requiring the Petitioner Companies to carry out necessary publication with regard to the said Scheme in "Business Standard" (English) and (Hindi) Delhi Edition newspapers.

8. It is submitted by the Petitioner Companies that in compliance of the above stated directions, the Petitioner Companies have duly filed an Affidavit of Service confirming that the aforesaid Notices of the present Company Petition were published on 13.09.2023 in the "Business Standard" (English) and (Hindi) Delhi Edition newspapers. Further, Notice of the Petition was also effected on the concerned authorities i.e., Regional Director (Northern Region), Official Liquidator, Registrar of Companies, Delhi & Haryana and Income Tax Department.

9. Accordingly, the RD has filed its report dated 13.02.2024, which at para 10 quoted Clause 30 of the Report of ROC, Delhi dated 26.09.2023 as under:

"a. As per the Hon'ble NCLT order dated 18.07.2023 the meeting of unsecured creditors of the applicant companies to be held on 19.08.2023. However, the chairman's report in respect of these meetings not found attached with the petition.

b. At clause no. 8.4 of the attached scheme, it has been stated that "The Resulting company shall, if necessary and to the extant required, increase its authorized share capital to facilitate issued and allotment of OCRPS as consideration under this scheme." The Resulting Company may be directed to file the relevant form and pay the fee to increase the authorized share capital before issuance of OCRPS.

c. The Schedule of Assets and Liabilities not found attached with the petition."

9.1 In their reply, the Petitioners have clarified as under:

1. As regards observations made in para 10 (1) of the RD affidavit regarding non submission of Chairman report, it is submitted that the meeting of unsecured creditors of both the companies was held as per the schedule and time in the order on 19th August, 2023. Chairman Report has also been filed and also enclosed along with the 2nd Motion Petition as Exhibit No.1 & 2 and the same is attached as Annexure No 1 to rejoinder affidavit dated 13.02.2024

2. As regards observations made in para 10(2) of the RD affidavit regarding increase in Authorised Share Capital of the Resulting Company for issuance of OCRPS to the shareholders of the Demerged Company it is submitted that the Resulting Company has increased its Authorised Share Capital from Rs 29,00,00,000 to 32,00,00,000

divided into 2,90,00,000 Equity Shares ofRs lO/- each and 30,00,000 Preference Shares ofRs 10/each and a Copy of Challan along with Form SH-7 is attached as Annexure No.2 to rejoinder affidavit dated 13.02.2024.

3. As regards observations made in para 10 (3) of the RD affidavit regarding non submission of Schedule of Assets and Liabilities it is submitted that Schedule of Assets and Liabilities of the Demerged Undertaking of Petitioner Demerged Company to be transferred to Petitioner Resulting Company is attached as Annexure No. 3 to rejoinder affidavit dated 13 .02.2024.

9.1.1 We have verified the annexures numbers 1, 2 and 3 to the rejoinder affidavit dated 13.02.2024. While Annexure-1 contains the Chairman's Report, in Annexure-2 a copy of the challan along with Form SH-07 is found to be attached, and Annexure -3 contains the schedule of assets and liabilities of the demerged undertakings. Thus, we are of the view that the contents of these documents adequately explain the above observations made by the ROC.

9.2 Further, by the letter dated 05.02.2024, the RD has made four additional observations, and the petitioners have clarified the same by their letter dated 07.02.2024. The aforementioned four observations, along with the clarification issued by the Petitioner in this regard, are copied below:

i. It has been observed from the Financial Statements of Venkatesh Infra Project Private Limited does not have any manufacturing undertaking which is forming a part of the proposed scheme. As per note 7 of the Financial Statement as on 31.03.2021 that the company do not have any Plant and Machinery which is pre-requisite for any manufacturing plant. There are other fixed assets related to the takeover of unit of GMPL which is not put to use. There is no depreciation has been charged on the same and therefore the Profit & Loss of the company is not showing true & fair view and resultant Balance Sheet as on 31.03.2023. It has been further observed that the company is not charging any depreciation on the same unit for last so many years. Please provide the details of acquisition of the plant, showing the date of acquisition, mode of acquisition, value of acquisition, name of the party from which the same has been acquired, reason for not charging depreciation etc. Therefore, manufacturing undertaking is not clearly defined. The aforesaid company purely engaged in trading activities and not in manufacturing activities. Offer your comments.

ii. The company Venkatesh Steel Infra Private Limited has taken unsecured loans from Mr. Amit Parakh to the tune of Rs. 25,00,000/- which falls within the provisions of Section 73 of the Companies Act, 2013. As per MCA-21 details, the company has not made necessary compliance with regard to Acceptance of Deposit. Offer your comments.

iii. The company Venkatesh Steel Infra Private Limited has shown to branch office in Mumbai and Delhi. However, basis of the Branch Audit has been dealt with has not been explained by the Auditor. Please provide the reason thereof.

iv. The scheme is deficient in identifying the assets which are being transfer to transferee company as demerged company. No specific assets have been identified for the purpose of demerger of undertaking. Provide reason thereof.

9.3 In reply to the above, the Petitioners have stated as under:

"As regards observation made in para 11(1) of the RD affidavit the Petitioner Companies submits that the Petitioner Demerged Company has acquired the manufacturing division through slump sale as a going concern basis vide business transfer agreement dated 11th December, 2020 the manufacturing unit was shown under the head Capital work in progress in schedule of fixed assets in the FY. 2020-21 and 2021-22 and accordingly no depreciation was claimed as it was not put to use. In F.Y 2022-23 turnover includes manufacturing division sales ofRs. 5,34,28,92/- and depreciation of Rs. 3,97,55,312/- is shown in the profit & loss account and all the all the assets has been shown under the head fixed assets, in Schedule No.7 of the manufacturing

units/division at Taloja Mumbai. The details of assets of manufacturing undertaking are shown in balance sheet as on 31 st March,2023 showing that the manufacturing undertaking/division is in existence prior to the Appointed date. Hence the observation of RD that there is no manufacturing division I undertaking as on Appointed Date and profit and loss account and balance sheet does not give true and fair view is not tenable. The business transfer agreement for acquisitionl purchase of manufacturing units is and Audited Financials of Petitioner Demerged Company are attached as Annexure 4 & 5 to rejoinder affidavit dated 13.02.2024.

As regards observation in para 11 (2) of the RD affidvait the Petitioner Companies submits that the said amount is not taken/accepted in the Petitioner Resulting Company, but has been acquired as liabilities as a part of Business Transfer Agreement executed on 25.08.2020 between M/s Venkatesh Steel (Proprietorship firm of Mrs. Ekta Agarwal) and Venkatesh Steel lnfi'a Pvt Ltd. This amount has been repaid during the F.Y 2022-23 and there is no violation of any provisions of the Companies Act, 2013 the audited Financials of Petitioner Resulting Company is attached as Annexure 6 to rejoinder affidavit dated 13.02.2024.

As regards observation in para 11 (3) of the RD affidavit the Petitioner Companies submits that there are no separate branches of the Petitioner Resulting Company but the business is carried on two separate places i.e. Delhi and Mumbai. Further, no separate books of branches has been maintained by the Petitioner Resulting Company. Hence, the question of the branch audit does not arise.

As regards observation in para 11 (4) of the RD affidavit the the detailed reply is already submitted in para 3 above and the same was also made available to shareholders and creditors. Schedule of assets and liabilities of the Demerged Undertaking of Petitioner Demerged Company to be transferred to Petitioner Resulting Company pursuant to

the Scheme is attached as Annexure No.3 to rejoinder affidavit dated 13.02.2024."

9.3.1 We have closely perused Annexures 4, 5 and 6 of the rejoinder affidavit dated 13.02.2024. These annexures contain the Business Transfer Agreement dated 11.12.2020 for purchase of the manufacturing unit, Audited Financial Statement as on 31.03.2023 of the petitioner demerged company i.e., Venkatesh Infra Project Pvt. Ltd., and Audited Financials Statement as on 31.03.2023, of the Petitioner Resulting Company i.e., Venkatesh Steel Infra Pvt. Ltd. The contents of these documents as narrated in the foregoing paragraphs are self-explanatory and we are of the view that those adequately clarify the observations by the RD. In view of the same, no adverse conclusion is drawn on the basis of the RD/ROC's report.

10. In his Report dated 19.10.2023, the Ld. Sr. Counsel for the Income Tax Department has enclosed the reports of the concerned assessing officers of the Petitioner Companies and has observed that "*the Income Tax Department has no objection to the scheme of de-merger under Section 230-232 of the Companies Act, 2013.*"

11. In view of the foregoing facts and discussion and upon considering the approval accorded by the Members and Creditors of all the Petitioner Companies to the proposed Scheme and no sustainable objections having been raised by the Office of the Official Liquidator, Regional Director (North), Income Tax Department or any other interested party, there does not appear to be any impediment in granting sanction to the

Scheme. **Accordingly, in sequel to the above, sanction is hereby granted to the Scheme of Amalgamation proposed by the Petitioner Companies under Section 230 to 232 of the Companies Act, 2013**. The sanctioned Scheme of Amalgamation shall be binding on the Transferor Companies and Transferee Company (Petitioner Companies) and their Shareholders and Creditors. The Petitioner Companies shall remain bound to comply with the statutory requirements in accordance with law.

12. Notwithstanding the above, if there is any deficiency found or violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Authority to the Scheme will not come in the way of action to be taken, albeit, in accordance with law, against the concerned persons, Directors and Officials of the Petitioner Companies.

13. While approving the Scheme as above, it is clarified that this Order should not be construed as an order in any way granting exemption from payment of Stamp Duty, Taxes or other statutory dues, if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement, which may be specifically required under any law. Further the approval of the Scheme would in no manner affect the tax treatment of the transactions under the Income Tax Act, 1961 or serve as any exemption or defence for the Petitioner Companies against tax treatment in accordance with the provisions of Income Tax Act, 1961.

14. THIS TRIBUNAL FURTHER DIRECTS with respect to Transferor Companies and Transferee Company, that:

(i) Upon the sanction becoming effective from the Appointed Date of Amalgamation i.e., 01.04.2022, the Transferor Companies shall stand dissolved without undergoing the process of winding up.

(ii) All benefits, entitlements, incentives and concessions under incentive schemes and policies that the Transferor Companies are entitled to including under Customs, Excise, Service Tax, VAT, Sales Tax, GST and Entry Tax and Income Tax laws, subsidy receivables from Government, grant from any governmental authorities, direct tax benefit/exemptions/ deductions, shall, to the extent statutorily available and along with associated obligations, stand transferred to and be available to the Transferee Companies as if the Transferee Company was originally entitled to all such benefits, entitlements, incentives and concessions;

(iii) All contracts of the Transferor Companies, which are subsisting or having effect immediately before the Effective Date, shall stand transferred to and vested in the Transferee Company and be in full force and effect in favor of the Transferee Company and may be enforced by or against it as fully and effectually as if, instead of the Transferor Companies, the Transferee Company had been a party or beneficiary or obliged thereto;

(iv) All the employees of the Transferor Companies shall be deemed to have become the employees and the staff of the Transferee Company with effect from the Appointed Date, and shall stand transferred to the Transferee Company without any interruption of service and on the terms and conditions

no less favorable than those on which they are engaged by the Transferor Companies, as on the Effective Date, including in relation to the level of remuneration and contractual and statutory benefits, incentive plans, terminal benefits, gratuity plans, provident plans and any other retirement benefits;

(v) All liabilities of the Transferor Companies, shall, pursuant to the provisions of section 232(4) and other applicable provisions of the Company Act, 2013, to the extent they are outstanding as on the Effective Date, without any further act, instrument or deed stand transferred to and be deemed to be the debts, liabilities, contingent liabilities, duties and obligations etc. as the case may be, of the Transferee Company and shall be exercised by or against the Transferee Company, as if it had incurred such liabilities.

(vi) All proceedings now pending by or against the Transferor Companies be continued by or against the Transferee Company.

(vii) The Resulting Company comply with the relevant provision of the Companies Act,2013 including payment of fees while increasing the authorised share capital before issuance of OCRDS.

(viii) The Income Tax department is permitted to retain its recourse for recovery in respect of demand and any other future liabilities of the Transferor Companies and the Transferee Company, in respect of the assets sought to be transferred under the proposed scheme.

(ix) That any person interested shall be at liberty to apply to this Tribunal in the above matter for any directions that may be necessary.

15. The Petitioner Companies shall within thirty days of the date of the receipt of this Order or on sanction of the Scheme with respect to Transferee Company, whichever is later, cause a Certified Copy of this Order to be delivered to the Registrar of Company for registration and on such Certified Copy being so delivered, the Transferor Companies shall be dissolved and the Registrar of Company shall place all documents relating to the Transferor Companies on the file kept by him in relation to the Transferee Company and the files relating to all the Petitioner Companies shall be consolidated accordingly.

16. The Company Petition is allowed in the aforesaid terms.

Sd/-	Sd/-
(SUBRATA KUMAR DASH)	**(ASHOK KUMAR BHARDWAJ)**
MEMBER (T)	**MEMBER (J)**